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Success story of TVS Group

TVS Motor Company is the third largest two-wheeler manufacturer in India, with a revenue of over 13,000 Cr ($2 billion) in 2016-17. It is the flagship company of the ₹40,000 Cr ($6 billion, in 2014-15) TVS Group. The company has an annual sales of 3 million units and an annual capacity of over 4 million vehicles. TVS Motor Company is also the 2nd largest exporter in India with exports to over 60 Countries. TVS Motor Company Ltd (TVS Motor), member of the TVS Group, is the largest company of the group in terms of size and turnover, with more than 3 Cr (30 million) customers riding a TVS bike.TVS was established by Mr TV Sundaram. He began with Delhi first bus service in 1911 and founded T.V. Sundaram and Sons Limited, a company in the transportation business with a large fleet of trucks and buses under the name of Southern Roadways Limited. When he died in 1955, his sons took the company ahead with several forays in the automobile sector, including finance, insurance, two-wheelers/ three wheelers, tyres and components, housing, aviation, logistics etc. The group has managed to run 97 companies that account for a combined turnover of nearly US$6 billion.

iii. Small Capital

Small capital is an important as well as specific advantage of sole proprietorship. Sole proprietor can start business with small capital.

iv. Credit Standing

Since his private properties are held liable for satisfying business debts, he can get more financial assistance from others.

v. Personal Contact with the Customers

Since sole proprietor knows each and every customer individually he can supply goods according to their taste and preferences. Thus he can cultivate personal relationship with the customers.

vi. Flexibility

The sole trader can easily adjust himself to the changing requirements of his business.

Disadvantages

The following are the disadvantages of a Sole Trader.

i. Limited Capital

Since the capital is contributed by one individual only, business operations have necessarily to be on a limited scale.

ii. Limited Managerial Skill

Single person's intelligence and experience may not help him beyond a certain stage. Since he has to focus on each and every activity, his managerial ability is bound to be limited.

iii. Unlimited Liability

The creditors have the right to recover their dues even from the personal property of the proprietor in case the business assets are not sufficient to pay their debts.

iv. Lack of Specialisation

Since the business unit is small and the financial resources are limited, experts in different fields cannot be employed to secure maximum advantages.